OPPORTUNITY SCAN · FOR CEO AND EXECUTIVE COMMITTEE

Honda Motor Co., Ltd.

Where is the value, and what would management recognise as its own agenda?

Excluding EV charges, Honda's margin trails the peer median by 1.4 pp because its car business earns almost nothing while motorcycles set records; the car rebuild management has already announced is worth ¥302.7–518.6B of annual EBIT if it closes that gap.

Public sources only · As of 2026-10-26 · JPY millions · Latest fiscal year FY26 · 7 peers · EBIT: adjusted where published, else reported · Peer revenue in yen at 2025 average ECB reference rates (USD and KRW crossed via the euro)

22 of 22 sources read from search extracts: verify before client use

Recurring EBIT opportunity
¥302.7–518.6B
a year by FY29, from 1 sized bucket

One-off cash release
n/a
working capital; never added to EBIT

EBIT margin
4.8% → 6.2–7.1%
today → with the gaps closed

1 The situation

In short

1. Excluding EV-related losses, Honda's EBIT margin is 4.8% against a peer median of 6.2% and a top quartile of 7.1%: 5 of 8, behind Suzuki at 9.9% and Toyota at 7.4%.
2. The gap sits in cars: motorcycles made a record profit while the automobile business was close to break-even before EV charges, so the value is where management's three-pillar rebuild already points.
3. Closing the gap to the median is worth ¥302.7–518.6B of annual EBIT (139–238 bps of margin), the same order as the step from today's adjusted profit to management's FY2029 record-profit goal.
4. Revenue grew 0.5% in the year against a peer median of 1.2%; growth and working capital are shown, not sized.

What the company is facing

- Motorcycles are the profit engine: record operating profit, led by India and Brazil. [2]
- The EV reset cancelled three North American models and pushed the group to an operating loss; more EV-related losses are expected in later years. [9]
- US tariffs weigh on the petrol and hybrid business, and competitiveness in Asia, China above all, has slipped. [6]
- In the first quarter of FY27 profit more than doubled with no EV charges, helped by a weaker yen. [8]

Where the business sits · FY26

Segment	Revenue	Growth	
Motorcycle [1]	¥4,018.8B	10.8%	Record operating profit; India and Brazil
Automobile [1]	¥13,863.4B	n/a	Loss after EV charges; near break-even without them
Financial services [1]	¥3,529.5B	n/a	Steady profit
Power products and other [1]	¥384.9B	n/a	Small loss

What management says it is prioritising

Rebuild the automobile business: reallocate resources, strengthen manufacturing, use outside partners

> Three pillars to rebuild the automobile business over about three years: strategic reallocation of corporate resources, thorough strengthening of the manufacturing structure, and strategic use of external resources, aiming for record consolidated operating profit of more than ¥1.4 trillion in the year to March 2029.
>
> SUMMARY Toshihiro Mibe, President and CEO · 2026-05-14 [7]

Move development and production to hybrids, led by North America

> Development and production resources move to hybrid cars: 15 next-generation hybrid models globally by the year to March 2030, mainly for North America, rolled out faster than originally planned.
>
> SUMMARY Toshihiro Mibe, President and CEO · 2026-05-14 [7]

> Honda scrapped its goal of EVs at 20% of new-car sales in 2030 and its 2040 all-EV and fuel-cell target, and will invest ¥4.4 trillion in new petrol and hybrid vehicles over three years.
>
> SUMMARY Reuters · 2026-05-14 [9]

Keep motorcycles and financial services as the stable earners, India first

> The motorcycle and financial services businesses maintain solid profitability; India is the largest motorcycle market, with a Honda share of about 28%.
>
> SUMMARY Honda, business briefing · 2026-05-14 [7]

Contain the EV reset without leaving EVs

> "The company has made a decision to cancel the development and market launch of three EV (electric vehicle) models that had been planned for production in North America."
>
> Honda, news release · 2026-03-12 [6]

> Cancelling the North American EVs is 'by no means an indication that Honda is withdrawing from EV business'; EV sales continue in Japan and Asia where they match demand.
>
> SUMMARY Toshihiro Mibe, President and CEO · 2026-05-14 [11]

Outside view: analysts and industry

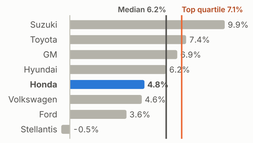
> Mibe apologised for the loss and shareholders backed the board, as ISS and Glass Lewis advised; he said the car business would have stayed in the red for at least five years had the EV plan gone ahead.
>
> SUMMARY Reuters · 2026-06-26 [10]

2 Performance against peers

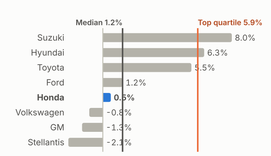
Peer set

Company	Revenue	FY	Why it is a peer
Honda Motor Co., Ltd. Consolidated, including financial services; DSO on trade receivables only (finance receivables excluded) EBIT: operating profit excluding EV-related losses, as published by Honda (reported: operating loss)	**¥21,796.6B**	**FY26**	Target
Toyota Motor Corporation Consolidated, including financial services EBIT: reported operating income; no adjusted measure found	¥50,685.0B	FY26	Closest Japanese peer: same fiscal year and IFRS; global volume maker with captive finance and a hybrid-led line-up
Hyundai Motor Company Consolidated, including financial services (Hyundai Capital) EBIT: reported operating profit; no adjusted measure found	¥19,612.6B	FY25	Global mass-market maker with captive finance, competing head-on in the US and India
Volkswagen AG Group, including the Financial Services Division EBIT: operating result before special effects, as published (EUR 14.8bn, rounded)	¥54,425.8B	FY25	Largest global volume peer by revenue; China and EV exposure; restructuring under way
Stellantis N.V. Consolidated; the 2025 operating loss includes EUR 25.4bn of unusual charges, which AOI excludes EBIT: adjusted operating income (AOI)	¥25,953.6B	FY25	Global volume maker that also reset its EV plans in 2025; North America is its main profit pool
General Motors Company Revenue includes GM Financial; receivables are automotive accounts and notes receivable EBIT: EBIT-adjusted, includes GM Financial (USD 12.7bn as published, rounded)	¥27,682.5B	FY25	Leading US volume maker with captive finance
Ford Motor Company Revenue and adjusted EBIT include Ford Credit EBIT: adjusted EBIT	¥28,018.9B	FY25	US volume maker with captive finance that also took large EV charges in 2025
Suzuki Motor Corporation IFRS; no captive finance arm of scale; Suzuki labels this year FY2025 EBIT: reported operating profit; no adjusted measure found	¥6,293.0B	FY26	The other Japanese maker of both cars and motorcycles; India-centred, as Honda's motorcycle business is

EBIT margin below median · 5 of 8
higher is better · latest FY each (FY25 to FY26) · sorted best to worst



Revenue growth (CAGR) below median · 5 of 8
higher is better · latest FY each (FY24–FY25 to FY25–FY26) · sorted best to worst



Data table

	Growth	Gross margin	SG&A %	EBIT margin	DSO	DIO	DPO
Honda	**0.5%**	**16.5%**	**11.4%**	**4.8%**	**22 days**	**51 days**	**33 days**
Toyota	5.5%	n/a	n/a	7.4%	n/a	n/a	n/a
Hyundai	6.3%	18.4%	12.2%	6.2%	n/a	n/a	n/a
Volkswagen	-0.8%	15.9%	11.0%	4.6%	24 days	76 days	41 days
Stellantis	-2.1%	-1.4%	5.8%	-0.5%	n/a	52 days	n/a
GM	-1.3%	n/a	n/a	6.9%	26 days	n/a	n/a
Ford	1.2%	n/a	n/a	3.6%	n/a	n/a	n/a
Suzuki	8.0%	n/a	n/a	9.9%	n/a	n/a	n/a
Peer median	**1.2%**	**n/a**	**n/a**	**6.2%**	**n/a**	**n/a**	**n/a**

3 Case for change

1 The prize is in the car business, not the group

EBIT margin: below median · RECOMMENDED LEAD

EBIT margin
4.8%
median 6.2% · top quartile 7.1%

Honda ranks 5 of 8 on EBIT margin excluding EV losses. With motorcycles at a record, the shortfall to the 6.2% median sits in automobiles, the business management is rebuilding; closing it is worth ¥302.7–518.6B a year.

> EV-related losses of ¥1,577.8 billion, ¥1,453.6 billion of them in operating profit; the automobile business lost ¥1,411.1 billion, or made ¥42.5 billion excluding EV-related losses, while motorcycles set a record.
>
> SUMMARY Honda, FY26 results · 2026-05-14 [2]

See quote from Toshihiro Mibe, President and CEO, 2026-05-14 [7]

Client readiness: high Restates management's own rebuild agenda with peer evidence; the discussion is pace and scale, not direction.

2 Hybrids must earn what Toyota and Hyundai already earn

EBIT margin: below median

EBIT margin
4.8%
median 6.2% · top quartile 7.1%

Toyota at 7.4% and Hyundai at 6.2% show what a volume maker with captive finance earns now. The test of the hybrid line-up is whether it lifts the car business enough to take the group toward that band, starting in North America, where tariffs bite.

See quote from Toshihiro Mibe, President and CEO, 2026-05-14 [7]

> Profitability had already weakened: changes in US tariff policy hurt the petrol and hybrid business, and competitiveness in Asia fell as resources went into EV development.
>
> SUMMARY Honda, news release · 2026-03-12 [6]

Client readiness: moderate Management names hybrids as the route, but a Toyota comparison invites debate on scale and mix.

3 Motorcycles carry the growth; cars do not yet

Growth: below median

Growth
0.5%
median 1.2% · top quartile 5.9%

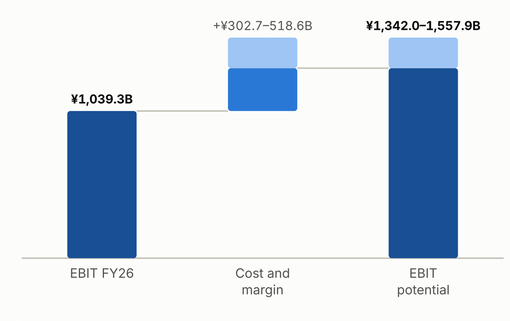
Group revenue grew 0.5% in the year, 5 of 8 in the set, with motorcycles carrying it. Growth is not sized: car volumes are cyclical and yen translation moves reported growth.

See quote from Honda, business briefing, 2026-05-14 [7]

Client readiness: high Matches how management describes motorcycles and India.

4 Size of prize

EBIT bridge on the latest year, with the gaps closed



EBIT margin 4.8% → **6.2–7.1%**

Bucket and gap to peers	Baseline	Opportunity	As %
Commercial: revenue growth Car volumes are cyclical and yen and won translation moves reported growth; a growth gap would measure the cycle and FX, not a lever	¥21,796.6B Revenue, FY26	n/a	
Cost and margin: EBIT-margin gap +1.4 pp to median · +2.4 pp to top quartile	¥20,757.3B Operating costs, FY26	**¥302.7–518.6B**	1.5–2.5% of operating costs 139–238 bps of margin
Recurring EBIT, sum of the rows above		**¥302.7–518.6B**	

One-off cash: working capital n/a

DSO: no peer benchmark: only 2 peers report it (need 4)
DIO: no peer benchmark: only 2 peers report it (need 4)
DPO: no peer benchmark: only 1 peer reports it (need 4)

Why the value is real

Cost and margin: EBIT-margin gap
Peers are on their own adjusted or reported basis, as Honda is. The FY2029 record-profit goal implies a step of the same order, and the first quarter of FY27 showed cars back in profit without EV charges.

See quote from Toshihiro Mibe, President and CEO, 2026-05-14 [7]

> No EV-related losses in the quarter, the automobile business back in profit at about a 5% margin, and the full-year operating-profit forecast raised to ¥650 billion (about ¥1.17 trillion excluding EV-related losses) on a weaker-yen assumption.
>
> SUMMARY Honda, Q1 FY27 results · 2026-08-05 [8]

Questions to test with management

- What automobile margin does the FY2029 record-profit goal assume, and how much comes from hybrids versus manufacturing cost?
- How much of the remaining EV pullback cost is cash, and when does 'excluding EV losses' stop being the headline measure?
- Which North American plants and suppliers carry the hybrid shift, and what does tariff mitigation add?
- Is working capital a lever? Peer balance sheets could not be read here; inventory days against Toyota would settle it.

5 Method and sources

- Every figure comes from a public filing, results release or investor presentation, listed below. Nothing is estimated to fill a gap: a missing value shows as n/a with its reason.
- Benchmarks are the median and top quartile of the peers that report the metric; the target is never in its own benchmark. Top quartile follows the metric's direction.
- EBIT is each company's adjusted operating income where it publishes one, and reported operating income otherwise; the peer table names the basis per company. Gross margin is revenue less cost of sales. SG&A is benchmarked as one combined line, because peers split it differently.
- Sizing closes the gap to the peer median (low) and the top quartile (high), on the latest year's revenue. Growth (reported revenue CAGR) compounds for 3 years to FY29 and converts to EBIT at the stated margin. Cash is one-off and never added to EBIT.
- Cost is sized as one EBIT-margin gap, because peers' cost lines are not comparable; it is never added to separate cost-of-sales or SG&A buckets. Totals are the sum of the rows shown. This is a sniff test of where value may sit, not a commitment: it has no practitioner experience, case examples or management data behind it.

Limitations

- Honda's EBIT is its own operating profit excluding EV-related losses (reported: an operating loss). VW, Stellantis, GM and Ford are on their own adjusted measures; Toyota, Hyundai and Suzuki on reported operating profit.
- Every company includes its captive finance arm; GM and Ford's adjusted EBIT include GM Financial and Ford Credit.
- Honda's cost of sales and R&D still carry EV impairments, and R&D and finance costs sit in different lines across the set, so cost lines are not charted or sized; one EBIT-margin bucket replaces them.
- Growth is the latest year against the prior year, because three-year histories could not be read for most peers. Japanese companies report to March 2026, the others to December 2025.
- Working capital is not sized: too few peer balance sheets could be read from search extracts.
- Stellantis left out of the Gross margin benchmark: 2025 cost of revenues carries part of the year's unusual charges, which AOI excludes
- Stellantis left out of the R&D % benchmark: 2025 R&D costs carry part of the year's unusual charges
- 22 of 22 sources could not be opened and were read from search extracts (marked ▫ below). Check those figures and quotes against the documents before client use.

Sources

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PUBLIC-DATA TEASER

Refer to dev.opcat-nonprod.bain.io for the full Opportunity Catalyst experience.

This poster shows where value may sit, from public data. Opportunity Catalyst adds Bain experience behind every lever, numbers you can change in the room, and a source behind every figure.

	THIS SCAN	OPPORTUNITY CATALYST
Benchmarks	Peer median and top quartile	Plus Bain experience ranges by lever
Data	Public filings, as reported	The case team's data, source-labelled, adjusted EBIT
Changes	Edit a file and rebuild	Change peers, levers and assumptions live; undo any change
Traceability	A numbered source list	Drill any number to its formula, inputs, peers and adjustments

OPPORTUNITY CATALYST
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WHAT THE FULL VERSION ADDS
claude.ai/artifact/JV1cYypSyve1ZjEp5vSkDe